

SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Mr. Justice Yahya Afridi, CJ
Mr. Justice Muhammad Shafi Siddiqui
Mr. Justice Miangul Hassan Aurangzeb

Civil Appeal No. 122-L of 2017

[On appeal from the judgment dated 23.05.2017 of the Lahore High Court, Lahore passed in Insurance Appeal No.198 of 2016]

Imtiaz Ahmad Khan. ... *Appellant*

Versus

*Pakistan General Insurance Company Limited
Lahore through its Chief Executive and another.* ... *Respondents*

For the Appellant: Mr. Liaquat Ali Butt, ASC.
[through video-link from Lahore]

For Respondent No.1: Nemo.

Date of Hearing: 20.05.2026.

JUDGMENT

Muhammad Shafi Siddiqui, J. This direct civil appeal filed under Article 185(2)(d) of the Constitution of the Islamic Republic of Pakistan, 1973 is directed against the judgment dated 23.05.2017 passed by the Lahore High Court, Lahore in Insurance Appeal No.198 of 2016, whereby the said appeal filed by respondent No.1/Insurance Company was allowed and the judgment dated 02.01.2016 rendered by the Insurance Tribunal, Punjab, Lahore (**'Tribunal'**) was set aside.

2. Briefly stated, the facts giving rise to the present appeal are that the appellant purchased a Hyundai Shehzore 2600CC (H-100) vehicle on 31.08.2007 for a sum of Rs.675,000/-, which was duly registered in his name under Registration No. LET-07-2478. The said vehicle was thereafter insured with the respondent No.1/Insurance Company under Policy No.009-

PC/001547/2007 dated 07.12.2007 for a sum of Rs.685,000/- for the period from 11.10.2007 to 10.10.2008. The appellant employed a driver, namely, Ghulam Murtaza, to operate the vehicle, which, as stated, was being used for the transportation of (third party's) goods. On 14.12.2007, while the said driver was travelling towards Ratti Pindi and had parked the vehicle at Handal Bus Stop, the same was allegedly stolen by unknown persons. An FIR bearing No. 725/2007 registered under section 381-A of the PPC, was thereafter lodged at Police Station Raiwind Sadar, on 16.12.2007. The appellant reported the incident to the respondent No.1/Insurance Company and submitted a claim under the policy, which, however, was not accepted, leading the appellant to institute an application for the claim of insurance before the Tribunal.

3. The learned Tribunal, upon framing issues and recording evidence adduced by the parties, vide judgment dated 02.01.2016, allowed the claim to the extent of 75% of the insured amount, i.e., Rs.513,750/-, on non-standard basis, along with liquidated damages at the rate of 5% per annum from the date of loss till realization, while declining the remaining claim. Feeling aggrieved, respondent No.1/Insurance Company preferred an appeal before the Lahore High Court, Lahore, which was accepted vide impugned judgment dated 23.05.2017, and the judgment of the learned Tribunal was set aside, hence this direct civil appeal.

4. Learned counsel for the appellant contended that the vehicle in question was duly insured under a comprehensive policy covering the risk of theft, and that the occurrence of theft was duly reported through the lodging of the FIR, followed by intimation to the respondent No.1/Insurance Company; therefore, the insurer was under a legal obligation to indemnify the loss. It was further contended that the alleged use of the vehicle for

transportation of goods on hire had no nexus with the incident of theft and, as such, could not be made a ground to repudiate the claim in toto, particularly when the loss had occurred due to a peril expressly covered under the policy.

5. We have heard the learned counsel for the appellant at considerable length and have perused the material available on record.

6. It is by now well settled that a contract of insurance is, in its essence, a contract of indemnity within the meaning of section 124 of the Contract Act, 1872, which provides that a contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person, is called a contract of indemnity. Section 125 of the said Act further provides that the promisee in a contract of indemnity, acting within the scope of his authority, is entitled to recover from the promisor all damages which he may be compelled to pay in any suit in respect of any matter to which the promise to indemnify applies, along with costs and sums paid under lawful compromise. It, therefore, necessarily follows that the liability of the insurer is confined strictly to the risks covered under the policy and cannot be extended beyond the agreed terms.

7. In the present case, the policy in question contained an explicit limitation as to use of vehicle and further provided that the insurer would not be liable in respect of damage to property other than property belonging to the insured person or held in trust by, or in the custody or control of, the insured person. The admitted position on record is that the vehicle was being used for the transportation of goods belonging to a third party and the vehicle was hired for such transportation. Such use not only falls outside the scope

of the permitted use under the policy but also squarely attracts the exclusion clause, thereby taking the claim beyond the coverage contemplated by the contract of indemnity.

8. The Supreme Court has also reiterated in the case *Jubilee General Insurance Co. Ltd.*¹ that contracts of insurance are governed by the doctrine of *uberrimae fidei* (utmost good faith), as recognized under section 75 of the Insurance Ordinance, 2000, which obligates the parties to act honestly and to refrain from taking unfair advantage of one another. Where the insured person, in clear violation of the terms of the policy, employs the vehicle in a manner expressly prohibited, he cannot subsequently seek to enforce the contract on terms favourable to himself while disregarding its binding conditions.

9. The perusal of the insurance policy indeed disclosed that the incident of theft is covered thereunder, however, what is more important is its use when it was stolen. We are of the view that the prohibited clauses would play an influential role such as personal use of the vehicle and not the use of the vehicle for transportation of goods of the third party; hence the stolen clause would yield in favour of the prohibited when such use is strictly excluded in the insurance contract. Though the aforesaid understanding of the contract is enough to decline the claim of the insurance.

10. It is also necessary to examine the evidentiary value of the surveyor's report in its proper perspective. Such a report constitutes a relevant and significant piece of evidence, particularly where it identifies specific breaches of policy conditions. In the present case, the report does not merely record the occurrence of theft but also highlights circumstances indicative of non-

¹ Jubilee General Insurance Co. Ltd. v. Ravi Steel Company (PLD 2020 Supreme Court 324).

compliance with the stipulated safeguards under the policy. The learned Tribunal, in granting relief on a non-standard basis, appears to have treated the breach as peripheral, without adequately considering whether it had a bearing on the risk assumed by the insurer. The question is not whether every breach must automatically defeat a claim, but whether the breach in question is of such a nature as to alter the contractual allocation of risk. Where the breach relates to a condition intended to minimize or control the insured risk, its disregard cannot be lightly brushed aside on equitable considerations alone. In that view, the Tribunal's approach reflects an insufficient engagement with the contractual framework governing the parties.

11. Apart from the above, the appellant has also failed to substantiate the occurrence of theft through reliable and cogent evidence. The most material witness, namely the driver of the vehicle, who was stated to be present at the time of the alleged incident, was not produced before the Tribunal. His non-examination, without any plausible explanation, amounts to withholding of the best available evidence, which could have materially assisted. In the absence of such evidence, the version put forth by the appellant remains uncorroborated and does not inspire confidence so as to warrant acceptance.

12. For the foregoing reasons, we are of the considered view that the High Court has rightly interfered with the judgment of the Tribunal and has correctly set aside the grant of insurance claim in favour of the appellant. The appellant, having failed to establish his claim in accordance with the law, and having admittedly acted in violation of the fundamental terms of the policy, is not entitled to any indemnification. No illegality or infirmity has

been pointed out in the impugned judgment, warranting interference by this Court. Consequently, this appeal is dismissed.

Chief Justice

Judge

Judge

Islamabad:

20.05.2026

Approved for Reporting

[Simra Sohail, L.C]